

tory at that point, ignoring all else, as previous economic history took place before government presumably learned to “manage” the economy and the money supply and is therefore irrelevant (until the next depression, anyway). As a result, economists have studied only the behavior of bonds and the economy during the rising portion of a long term economic and monetary cycle. It is indeed true that (1) in an environment of general growth and inflation, (2) when only a recession occurs, bonds typically rise in price as the economy contracts because the inflation component of the bonds’ interest rate falls. When the *long* term economic trend turns down, however, the relationship between the economy and the bond market is dramatically different.

### How Bonds Behave In a Depression

It is a confusing paradox that a depression produces trends toward both higher *and* lower interest rates, the trend determinant being perceived default risk. While interest rates rise on weak debt, they fall on guaranteed strong debt (except for a brief time when the crisis temporarily forces strapped investors to raise cash). As previously stated, the ultimate true return of capital on a bond is the value of the interest payment times the number of payments made, plus whatever principal is recovered. As the chances of a borrower’s survival is perceived to worsen, credit-providing investors demand higher rates in an attempt to get back as much of their investment as possible. As interest rates paid by issuers of questionable reliability soar, those paid by borrowers of perceived impeccable reliability fall to extremely low levels as investors search not for income but for a safe haven. This movement is classically termed a “flight to quality.” High and rising interest rates in evidence for many issues reflect not inflation or a desire to borrow, but people’s increasing fear of losing their principal. Any debt that is perceived to be risky falls in price along with the contraction in the economy, and the greater the contraction, the further the fall. In the 1930s depression, many bond prices collapsed significantly on such fears, and some issuers ultimately defaulted. As the contraction worsened, even completely safe Federal government bonds experienced a brief, sharp selloff, as some investors sold even good bonds just to raise cash. So while today every bondholder is convinced that a poor economy means rising prices, history will reveal that on a larger scale, a poor economy means *default*.